Article | 25 August 2026 GERMANY

Germany’s hot political autumn

The weather is cooling in Germany, but politics is heating up. Three state elections in a fortnight now decide how much authority the Merz government has left

Alice Weidel and Tino Chrupalla, co-chairpersons of Germany’s far-right Alternative for Germany (AfD) party

It is Germany’s super election year, and that is without a federal election. Two state elections at the start of the year, three more this autumn. State elections hit federal policymaking twice over: directly through the Bundesrat, which reviews every law parliament passes and can veto those touching state powers, and indirectly through the mood they set inside the parties and inside the governing coalition. A regional election is always that rare hybrid – a vote on local matters and local politicians, and a running poll on the popularity of the federal government.

Germany’s election year got off to a relatively quiet start, but is about to end with a bang. In March, the Greens held Baden-Württemberg by some 27,000 votes over a CDU that gained almost six points and then lost the top spot in the final days of the campaign, and the CDU took Rhineland-Palatinate after 35 years of Social Democratic rule. The CDU escaped with bruises. Its junior partner in the federal government, the SPD, continued the downward trend of recent years.

Now three state parliaments are up within a fortnight: Saxony-Anhalt on 6 September, then Mecklenburg-Vorpommern and Berlin together on 20 September. Roughly 5.4 million people are entitled to vote across the three, about 8% of the German electorate – and yet the outcome will set the political weather in Berlin for the remaining three years of this legislature, or could even end the coalition before the legislature officially does. In two of the three, the AfD leads. In the third, Die Linke does. In none of the three does the incumbent coalition still have a majority.

The timing is unkind. Friedrich Merz is one of the least popular chancellors ever; his party stands at some 21% in national polls, the SPD at 12, the AfD at 29. Government and country are struggling to agree on the far-reaching reforms needed to pull the economy out of a stagnation that has lasted far too long, regain competitiveness and confront structural challenges from demographic change to China's shifting role in the global economy. CDU and SPD agreed a reform package just before the summer, but not everyone in the parties supports it and implementation is cumbersome. The AfD, meanwhile, benefits from the government's inability – and at times unwillingness – to push reforms through quickly, and from the plain fact that reforms come at a cost.

What the polls are telling us

The election that probably matters most for the bigger picture is **Saxony-Anhalt** on 6 September. Not because of its size – 2.2 million people, four Bundesrat votes, the eleventh-largest state – but because the AfD is polling above 42% and could, for the first time in the Federal Republic's history, supply a state premier. If it wins an absolute majority, the case is clean-cut. If it comes first without one, uncertainty increases rather than falls: every other party would have to squeeze into a single coalition, or one of them would become kingmaker as the AfD's junior partner.

The incumbent CDU has no comfortable way out. Sven Schulze took the premiership only in January, succeeding Reiner Haseloff after 15 years, and his CDU-SPD-FDP coalition has since shed roughly a quarter of its support. On current polling, exactly one majority exists that excludes the AfD: CDU plus Die Linke plus SPD, with about one seat to spare. One seat, for five years, with a partner the CDU's own federal resolution forbids it to govern with.

Mecklenburg-Vorpommern offers a slightly different example. The AfD leads at 36% with Leif-Erik Holm, but Manuela Schwesig's SPD is at 29% – an extraordinary number for a party polling around 12% nationally. Asked directly who should be premier, voters back Schwesig over Holm by 47 to 27. Just 12% want a CDU-led government at all.

Schwesig's coalition with Die Linke would nonetheless lose its majority. The likely repair is an SPD-Linke-CDU arrangement, which would put the CDU into government as the fourth-placed junior partner of a red-red coalition. Note the shape of that: to keep the AfD out, the CDU may end up governing with Die Linke in two states on the same fortnight.

Berlin is a different animal: 2.4 million voters, four Bundesrat votes, and an AfD that at 17% is nearly double its 2023 result but nowhere near winning. The drama here is fragmentation: Die Linke, CDU, AfD, Greens and SPD are currently inside six percentage points, and every plausible majority needs three of them.

The CDU has fallen roughly nine points from its 2023 high, and Kai Wegner – the first conservative mayor of Berlin since 2001 – withdrew his candidacy in July after months of criticism over his handling of the January blackout, staying on only until a successor government is formed. Finance Senator Stefan Evers inherited the candidacy and the acting party chairmanship with 10 weeks to run. Die Linke, campaigning hard on rents and expropriation with Elif Eralp, currently leads.

The AfD's grab bag of economic policies

Underneath these three horse races sits a broader story, and one that markets and the business community should be paying more attention to than they are: the rise of the AfD to Germany's largest political party, at least according to the polls.

On economic policy, the AfD remains a grab bag, or a surprise bag. What it actually wants is unclear; contradictions are not rare and very little has been committed to paper. The 2025 federal manifesto, adopted unanimously ahead of the federal election and still the binding party programme, contains an entire chapter demanding Germany's exit from the euro, a return to a national currency, gold repatriation and Target-2 "monetarisation". It also called for higher pensions. The ZEW scored it as having the largest financing gap of any party's programme.

Earlier this year, the AfD's parliamentary group published a position paper on economic policy. Measured against the 2025 manifesto, the deletions are the headline. The entire monetary-sovereignty complex – euro exit, D-Mark, gold, Target-2, Bitcoin – the party's founding DNA from 2013, is absent without a trace. Russia policy is laundered into supply-chain language. What remains is dressed as poisoned fruit for the CDU: the paper builds its tax reform on Paul Kirchhof's proposals – the flat-tax architecture Angela Merkel brought into the 2005 campaign, and which the SPD then turned into the "professor from Heidelberg" caricature that nearly cost Merkel the chancellery – and defends the constitutional debt brake as sacrosanct. The AfD is handing the CDU back a weapon that once blew up in its hands.

Where the party does put numbers on paper, the numbers have now been checked. On 5 August, a month before polling day, the Halle Institute for Economic Research costed the AfD's Saxony-Anhalt programme. Of 136 cost-effective measures, 28 can be quantified by official sources, at roughly €1.6bn a year; add the €877m of already-planned borrowing the party's no-new-debt pledge would have to replace, and the annual financing need is about €2.5bn. Against that stand €243m of provable savings, on assumptions deliberately generous to the AfD. Less than ten cents of every promised euro is covered. The residual gap of at least €2.2bn equals roughly a quarter of the state's entire tax revenue – and it is a floor, since 108 of the

136 measures could not be costed at all. However, here is the uncomfortable part for anyone who believes costs win arguments. The study landed on 5 August. The AfD's polling has risen since.

And then there is the small matter of what the party leader says when the cameras are on. In the ZDF Sommerinterview on Sunday, filmed in Vienna where she was meeting the FPÖ, Alice Weidel walked through the entire case against the single currency: an unstable soft currency, a machine for redistribution, a country that was doing distinctly better before it. What she did not do was say plainly that an AfD government would take Germany out of the eurozone. The argument was made in full; the commitment was left hanging. On Schengen she was blunter: the treaty would be cancelled. Which tells you something about where the party thinks its caution still pays. Even leaving the financing question aside, it remains completely unclear what kind of economic policy a state – or the country – would get with the AfD in government.

Why the three state elections matter for national politics

The direct impact on the German economy from the September elections will be very limited. At best, new state governments could undermine support for the federal reform package and slow implementation, or eventually derail it. The indirect impact could be much larger. Beyond the symbolic effect one or several AfD wins would have on foreign investor sentiment, there are potential reactions inside the parties themselves that could slow reform further and eventually bring down the federal government. Three triggers are worth watching.

One: the cordon sanitaire becomes expensive. Chancellor and CDU leader Friedrich Merz has held the line against cooperation with the AfD. September's arithmetic sends the bill. If the only non-AfD majorities in Saxony-Anhalt and Mecklenburg-Vorpommern are coalitions in which the CDU governs alongside Die Linke, an ugly internal debate follows about which taboo is load-bearing: the firewall against the AfD, or the party resolution ruling out coalitions with the Left.

Two: leadership risk becomes live. Merz remains the least popular chancellor on record. His U-turn on the debt brake and fiscal stimulus, the gap between words and action, the slow and cumbersome reform effort and some clumsy personnel management have all drawn criticism from within his own party. Over the summer there were already rumours of an attempt to replace him after the September elections. Easier said than done – but the mere existence of the debate signals unrest, and unrest can grow.

Three: the SPD's slowly growing existential crisis. There is a real risk the SPD misses the 5% threshold in Saxony-Anhalt and drops out of the state parliament altogether – unprecedented, and deeply unsettling for a party leadership already short of good news. The weaker the SPD's support, the likelier an internal fight over course: press on with the government's reform agenda, or unwind much of it and take a more French approach to economic reform.

For the economy, nothing will change in September. What the elections could change is the price of everything the government still wants to do. And how much time it will have left to do it.

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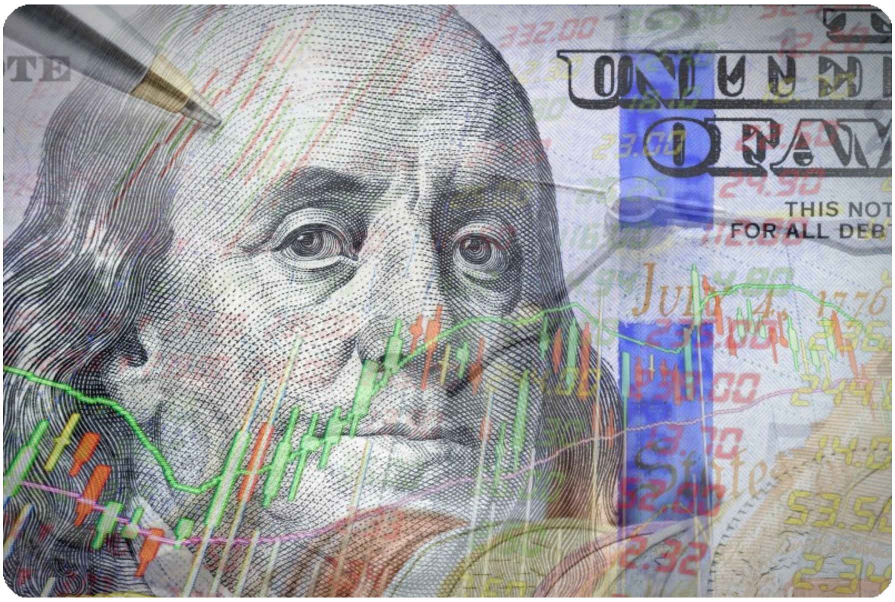
Article | 31 August 2026 RATES SPARK

Rates Spark: Curve influencers

Warsh and Bessent – the bond influencers. But bigger market pressures should dominate. Tactically, the oil price drives much of the short-term moves in rates. Structurally, it s the global rise in real rates – that is the real influencer



Fed Chair Warsh and Treasury Secretary Bessent have their attention focused on the front end and back end of the yield curve

Here's why Kevin Warsh and Scott Bessent can both see silver linings from latest developments

Key moves are being seen on both ends of the curve through Monday, as the market continued to digest Chair Warsh's words from Friday. On the front end, the probability of a 25bp hike from the September FOMC meeting has flipped from 50:50 to 3:1 in favour. That's meaningful. Not quite fully discounted. But absolutely heading in that direction. On the back end, the 10yr break-even inflation rate continued to ease lower. Only by a few basis points. But it's the kind of move that should please Chair Warsh, as it suggests that his hawkish words have acted to contain inflation expectations, even if they weren't high to begin with (still in the 2.3% area).

However, the 10yr yield continued to edge higher, just as it did on Friday afternoon. The culprit is ongoing upward pressure on real yields, a theme we've opined on now for many months. Higher real yields suggest that the pressure being felt in long rates is not from inflation. It's from a combination of issuance pressure (current and anticipated), and it likely incorporates a positive productivity growth slant coming from the AI revolution. Chair Warsh specifically referenced a positive secular growth dynamic up for discussion at the opening of the G20 summit in South Carolina. That gels with higher real rates.

The optics of seeing Treasury Secretary Bessent deplaneing with Fed Chair Warsh from Air Force Two were interesting. Not indicative of anything specific, apart from a reminder that both of these men have their attention squarely on the front end and back end of the yield curve. Chair Warsh effectively warned us on Friday that front-end rates may need to be adjusted higher. A week or so earlier, Treasury Secretary Bessent moved to contain long-end yields through an intention to more than double the volume of long-end buybacks. He went on to assert on Monday that he was not targeting any particular level; rather, he was just prodding the market towards a fairer valuation, from his perspective.

Ahead, the front end is liable to remain sticky now at elevated yields unless negated by a weak payrolls report on Friday. But back-end yields remain under rising pressure. We continue to anticipate a move in the 10yr yield into the 4.75% to 5% area as the real-rate elevation pressure remains. Note that Treasury Secretary Bessent can still claim a victory lap, given the tightening seen in long-tenor swap spreads, vis a vis relative richening in long-end Treasuries. As a percent of total spreads, these are in some 10% since the buyback announcement, and looking reasonably resilient to the downside. Overall, the curve should steepen from the back end.

Printed Eurozone inflation is too high, but inflation expectations are still well-contained

Consensus sees August’s eurozone headline CPI number tick up to 3.3%, but inflation should not be the main concern for euro rates. On a daily basis, oil is the key driver of rates, but overall the pricing of inflation risks remains very well-behaved. The 2Y inflation swap stands at 2.5%, which is above target but far from alarming. Meanwhile, the 5Y5Y forward inflation swap is just 2.15%, reflecting a high degree of confidence in the ECB’s monetary policy.

The bigger source of uncertainty can be found in real rates, which have been drifting higher over the past years, especially in the US. Even though Fed Chair Warsh raises the risk of a perceived policy error, long-term market measures in the US still point to a benign inflation outlook. The 10Y inflation swap at 2.5% is actually at the lower end of the trading range from the past years. But with the 10Y UST at 4.75%, implied real rates are the ones testing new highs.

That doesn’t mean inflation risks can be safely ignored either. If we do get upside inflation surprises from the eurozone, euro rates can easily push higher still, especially at the short end of the curve. Second-round inflation risks remain a material risk and the ECB has shown a willingness to hike if necessary. And with growth numbers still showing a robust economic outlook, we would see little pushback against another more hawkish turn.

Tuesday's events and market view

Out of the eurozone we will get preliminary inflation data for August, with consensus eyeing a rise to 3.3% for headline inflation and the core rate staying at 2.5%. Releases so far are pointing in the direction of the consensus, but that still means inflation is currently running well above the ECB's target with little relief from the direction of geopolitics. Other releases to watch out of the bloc are the final PMIs, which also provide the first individual August readings for Italy and Spain. From the ECB, Nagel and Vujcic will be speaking.

The US publishes the manufacturing ISM with consensus eyeing only a marginal softening to a still solid 55.3. Jobs-related data will be the main focus though, with the release of the JOLTs jobs openings data for July. The only scheduled Fed speaker for the day is Barr.

In government bond primary markets, Germany will auction €5.5bn in 5y bonds.

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Article | 31 August 2026 POLAND

Poland's GDP growth nears 4% in 2Q amid strong investment and net exports

Statistics Poland revised GDP growth up to 3.9% YoY in 2Q from the 3.8% flash estimate. The breakdown showed a long-awaited rebound in fixed investment and a positive contribution from net exports. A strong second quarter provides a solid starting point for the rest of the year, but given the uncertain outlook, we stick to our forecast of 3.4% growth in 2026

Poland's second-quarter GDP has been revised up but we remain cautious on the outlook

GDP growth gained momentum in 2Q26

The StatOffice revised Poland's GDP growth to 3.9% year-on-year in the second quarter from 3.8% YoY reported earlier and 3.5% YoY in the first quarter. Seasonally-adjusted data indicates that economic growth accelerated from 0.6% quarter-on-quarter in 1Q26 to 1.0% in 2Q26. Despite global headwinds stemming from the energy market turmoil triggered by the conflict in the Middle East, Poland's economy proved resilient and recovered from a weak first quarter when activity in construction and industry was hit by bad weather.

Services still driving value added growth, but industry and construction rebounded

Gross value added advanced by 3.6% YoY in 2Q26 following an increase of 3.3% YoY in the previous quarter. Solid growth was still reported in services, which accounted for more than half of total gross value added (around 2ppt). The improvement was also seen in industry, where gross value added rose by 6.5% YoY vs. 4.1% in 1Q26. After a softer start to the year, activity in domestic industry improved in subsequent months in tandem with improving business conditions in European markets. This improvement also took place in construction, where output jumped by 3.0% YoY in 2Q26 after a drop of 4.5% in 1Q26. The construction sector was catching up after severe weather dampened activity earlier in the year.

Further slowdown in private consumption growth

In line with our expectations, the second quarter of this year brought a further slowdown in household spending. Household consumption increased by 2.8% YoY in 2Q26 from 3.3% in 1Q26. Wage growth continued to ease, while the conflict in the Middle East pushed up crude oil and retail gasoline prices, boosting inflation and leaving households with less to spend on goods other than fuel.

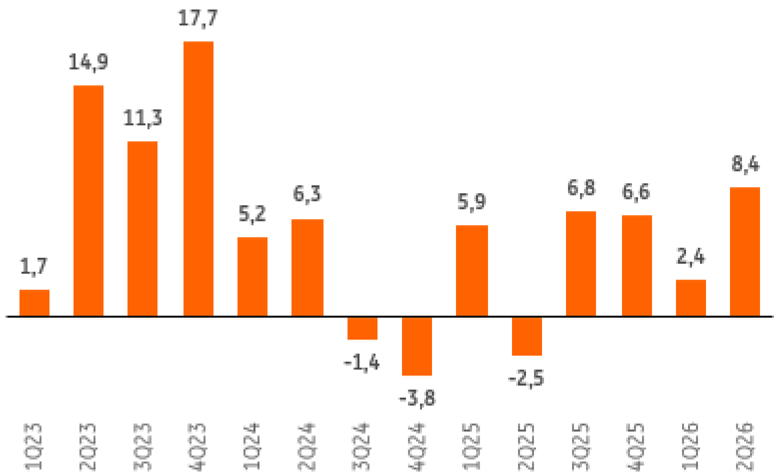
When assessing the outlook for consumption, it should be noted that households have significantly increased their saving rates in recent quarters, thereby building a buffer that could allow them to maintain relatively robust growth in spending even if growth in disposable income continues to slow (consumption smoothing).

Long-awaited rebound in fixed investment

In 2Q26, investment activity finally improved visibly. Fixed investment jumped by 8.4% YoY, following growth of 2.4% YoY. Poor 1Q26 results were partly linked to subdued public investment, including deliveries of military equipment. In recent months, activity accelerated significantly as projects implemented under the National Recovery Plan (NRP) kicked in. We expect investment activity to be strong in the second half of the year, with growth in gross fixed capital formation nearing a double-digit pace. In addition to fixed-asset investment, inventory changes also contributed positively to growth in the previous quarter, adding 0.1 percentage points to annual GDP growth.

Fixed investment improved in 2Q26

%YoY



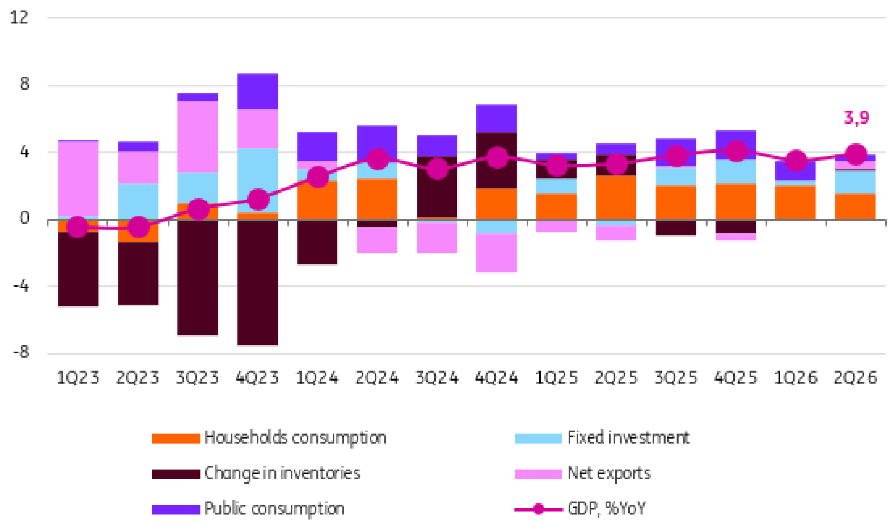
Source: GUS, ING.

Positive contribution from foreign trade

Despite mounting competitive pressure from Asia and a widening trade deficit with China, foreign trade remains one of the key strengths of the Polish economy. In 2Q26, exports of goods and services rose by 10.8% YoY while imports increased by 10.4% YoY in real terms, compared with 5.6% YoY and 6.1% YoY, respectively, in 1Q26. The positive contribution of net exports amounted to 0.5ppts in 2Q26.

GDP growth and its composition

%YoY, ppts.



Source: GUS, ING.

Favourable growth momentum, but elevated uncertainty persists

The 2Q26 GDP data came as a positive surprise, with the economy proving remarkably resilient to the outbreak of the conflict in the Persian Gulf and the resulting rise in oil prices. The escalation of tensions in the Middle East had prompted us to revise down our GDP growth forecast for this year from 3.7% to 3.4%. Recent growth data provides a strong starting point for the second half of the year and increases upside risks to our revised forecast. However, given the persistent uncertainty surrounding the medium-term impact of the prolonged US-Iran conflict on Poland's economy, we maintain our cautious 2026 GDP growth forecast of 3.4%.

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Article | 28 August 2026 FX NEW ZEALAND

RBNZ preview: A 25bp hike, with some dovish risks

The Reserve Bank of New Zealand should hike rates by 25bp on 2 September, in line with expectations. We also think they will retain a bias for more tightening, but the bar to match markets very hawkish expectations for the next year is set high. The new set of projections carries some dovish risks and can weigh on NZD

We expect the Reserve Bank of New Zealand to increase its overnight cash rate by 25bp to 2.75% on 2 September and expect one more 25bp hike after that

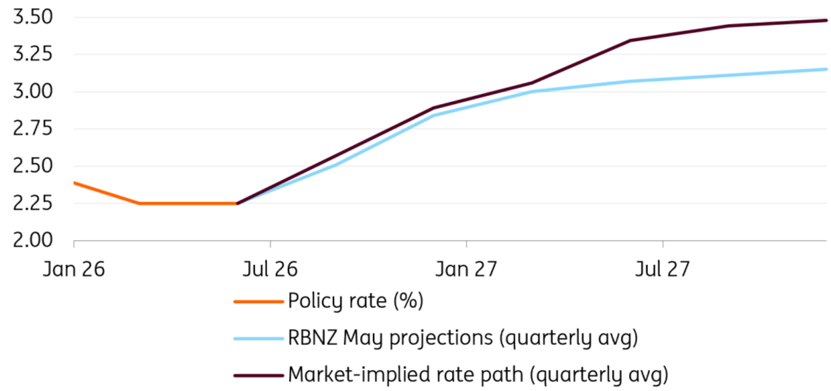
RBNZ to hike, but bar is high for hawkish surprise

We expect the Reserve Bank of New Zealand to increase its overnight cash rate (OCR) by 25bp to 2.75% on 2 September. When rates were last hiked in July, the RBNZ said that "some further reduction in monetary stimulus is likely to be required". In its May projections, based on higher oil price assumptions, signalled rates could reach 3.0% by year-end and remain there throughout 2027.

Markets are currently matching those projections for 2026, but are even more hawkish for 2027, despite lower energy prices. A September hike is fully priced, with another expected by year-end. Beyond that, the OIS curve implies a further 50bp of tightening, taking rates to 3.50% by mid-2027.

Against this backdrop, we see scope for dovish risks heading into the meeting. The bar for the RBNZ to validate the market's aggressive tightening expectations appears high.

Markets even more hawkish than May's RBNZ projections



Source: ING, RBNZ, Refinitiv

Inflation should be revised lower

Since the July hike, New Zealand has released its 2Q inflation and labour market data. CPI rose from 3.1% to 4.1%, marginally below the RBNZ's 4.2% forecast, largely due to higher energy prices. Employment growth surprised to the upside at 0.5% quarter-on-quarter versus an expected 0.1%, but a sharp increase in participation pushed the unemployment rate up unexpectedly, from a revised 5.4% to 5.6%.

Taken together, the data fully support a September hike and argue for retaining a hawkish bias. That said, the inflation projections released at this meeting should be revised lower. We expect headline inflation to fall back below 4.0% from 3Q26, rather than 1Q27 as projected in May. As a result, rate projections may not need to move higher, leaving 3.0% as the peak of the tightening cycle. With markets pricing a peak of 3.50% by mid-2027, that could be seen as a dovish outcome. There is also a risk that not all RBNZ members are equally convinced by the case for further tightening, leading to a more nuanced and less hawkish message.

Rates heading to 3.0%, NZD upside limited

Our call for the RBNZ is for two more hikes. One at this September meeting, and another either at the December or February meeting. We are less convinced than markets on further hikes. Growth and labour markets are cause for concern and a decline in oil prices could send inflation below worrying levels earlier than expected.

For FX, we see downside risks for the NZD around this meeting, given the high hurdle for the RBNZ to validate market pricing. Further out, we still think a repricing of dovish Fed expectations, even after Warsh's hawkish Jackson Hole speech, can lift NZD/USD into year-end.

However, a less hawkish RBNZ than markets anticipate could limit gains and keep the pair capped around 0.60, our current year-end target.

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Article | 28 August 2026

FX

FX Daily: Keeping an eye on the long end

At the end of a quiet week in FX, the highlight today is a speech from Fed Chair Kevin Warsh at the Jackson Hole symposium. Given that financial innovation is the theme of the event, there are no guarantees he ll go anywhere near monetary policy today. However, FX markets and risk assets in general will take their cue from how long-dated Treasuries perform

Fed Chair Kevin Warsh takes the stage today at the Jackson Hole Symposium

USD: Will Warsh go near monetary policy today?

It has been a quiet, risk-positive week for global asset markets. Volatility remains low and the picture in G10 FX has been mixed, with certainly no follow-through on the dollar debasement theme which returned last week. The FX market expects little from Kevin Warsh today, with a one-day USD/JPY straddle pricing around a 35 USD pip range today. On Warsh, he speaks at a symposium dedicated to financial innovation and is immediately followed by speakers on tokenised finance and payment innovation. He has a 30-minute slot at 1600 CET/10ET today and there is no Q&A. It may well be that he avoids any discussion of monetary policy whatsoever and is quietly contented with market pricing of a Fed September hike having slipped back to 8/9bp. If he does go near monetary policy, expect a reiteration of a Fed commitment to monetary policy – especially after his performance at the July FOMC unnerved the long-end of the Treasury market.

We suspect FX markets will take their cue from long-dated US Treasuries today. If somehow a hawkish read emerges, then the dollar can advance against the low-yielders of CHF and JPY. If Warsh underestimates the mood at the long-end of the market and 30-year Treasury yields spike back towards 5.30%, higher volatility will see higher-yielding carry currencies underperform and probably CHF start to outperform again as it did briefly last week.

Coincidentally, at the time as Warsh is speaking, the Bureau for Labour Statistics announces its annual nonfarm payroll benchmark revisions. Consensus expects a close to +200k revision, versus a prior revision of -911k. Any surprises here could be noteworthy. But on the subject of US macro and the Fed, next week should be much more illuminating, given all the jobs data releases, the Fed's Beige Book and a moderated discussion with Chris Waller next Thursday.

We presume Warsh will do his utmost to avoid upsetting the bond market today – perhaps by avoiding monetary policy altogether – and see DXY trading in a quiet 99.00-99.30 range.

Chris Turner

EUR: Gas and French bonds may be weighing

EUR/USD has softened a little this week despite encouraging eurozone data, hawkish ECB commentary and a relatively supportive risk environment. Perhaps holding the euro back has been natural gas prices pushing close to EUR70/MWh and some more belligerent commentary out of Russia. Certainly, the CEE FX complex seems to have taken note of the potential for escalation in the conflict, with investors preferring to scale back heavily overweight positions in Hungary.

On France, our rates strategy team are focusing on French-German bond spreads staying near recent wides as the French presidential campaign gets underway. Marine Le Pen, running on a ticket of fiscal austerity, is still far ahead in the opinion polls, but French debt has yet to respond. There does not seem to have been a clear winner in the first of the TV debates which took place last night.

There is quite a busy eurozone data calendar today, of which French and Spanish August inflation is probably the highlight. Rising headline and perhaps core rates too can keep another 50-60bp of ECB tightening priced into money market curves and probably keep the euro supported.

46 USD pips are priced by the FX options market for the EUR/USD range today. A 1.1620-1.1665 range is possible if Warsh avoids rattling the bond market and conditions remain calm.

Chris Turner

KRW: Onwards and upwards

The Korean won continues its advance. The driver this week has been back-to-back rate hikes from the Bank of Korea, with the policy rate now a reasonably high 3.00%. The Bank of Korea has its own, Fed-like, Dot Plot. The median expectation is for the policy rate to reach 3.25% in six months' time. The good news is that rate hikes are not only being driven by above-target inflation, but by broadening and strengthening growth prospects. GDP forecasts have been revised substantially higher for 2026 and 2027 as the chip export boom filters across large parts of the economy.

However, KRW/JPY has quickly returned to the highs seen in 2023/24. This might be a problem for Korean authorities fearful of Japanese competition in third markets. Yet having suffered such a weak won for so long, we suspect local authorities will be prepared to tolerate current strength. There is an outside risk to 1350, but USD/KRW has come a long way in a short space of time and is probably due some consolidation.

Chris Turner

BRL: Presidential polling in play

It has been a positive environment for the carry trade, but what has also been helping the Brazilian real this week has been an opinion poll showing that President Lula's lead over Flavio Bolsonaro has dropped to just one percentage point. Bolsonaro is running on a ticket of fiscal consolidation and hoping to emulate the victory of Colombia's Abelardo de la Espriella this year, which has been greeted warmly by local asset markets.

The first round of the Brazilian presidential election takes place on 4 October. Expect USD/BRL to be bounced around by polling results before then. But with 12% implied yields through the forwards and the chance of a regime change, we suspect the real can continue to comfortably outperform the steep forward curve.

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Article | 28 August 2026

POLAND

Poland’s draft 2027 budget: Not great, not terrible

Poland is on course to run the EU s largest fiscal deficit in 2027 at 7.1% of GDP. While the draft budget is not as irresponsible as some investors had feared, given next year s general election and the populist ideas promoted by the ruling party and the opposition, fiscal consolidation has been delayed once again

The fiscal deficit is set to run above 7% of GDP in Poland

Macroeconomic assumptions seem reasonable

The macroeconomic assumptions underpinning the draft state budget do not appear particularly controversial. The government is forecasting GDP growth of 3.0% and CPI inflation of 2.8%. These projections are broadly in line with our baseline scenario, which envisages economic growth of 3.2% next year and consumer inflation of around 2.5%.

Similar to our expectations, the government also expects wage growth to continue moderating. According to the Ministry of Finance's projections, the average wage in the economy will increase by 5.9%, following estimated growth of 6.4% in 2026. The registered unemployment rate is forecast to stand at 6.0% at the end of 2027, compared with our projection of 5.9%.

Key variables in the 2027 draft state budget

	2026E	2027P	Change
Real GDP , %	3.6	3.0	-0.6
CPI inflation, (avr) %	3.0	2.8	-0.2
General Government Balance, % of GDP	-7.1	-7.1	0.0
State budget balance, bn PLN	271.7	-282.6	-10.9
Net borrowing needs, bn PLN	320.0	317.0	-3.0
Gross borrowing needs, bn PLN	<600	565	-35
Debt servicing costs, bn PLN	90	107	17

Source: Polish Press Agency

Fiscal imbalance to remain high

The 2027 general government deficit is projected at 7.1% of GDP and will likely be the highest in the European Union next year. The 2026 deficit estimate was revised to 7.1% of GDP from 6.5% of GDP projected in the 2026 budget act due to, among other things, the fiscal costs of the temporarily lowered excise duty and VAT rate on fuels. The draft budget embraces fiscally neutral changes to direct taxes that were announced previously. The list of spending priorities remains long, including (1) security, (2) healthcare and (3) economic growth.

The 2027 draft budget bill means continued fiscal expansion and a lack of progress in the consolidation of public finances. Authorities are not taking steps to end the excessive deficit and bring it below 3% of GDP any time soon. As a result, public debt will continue mounting and may face limits envisaged in the public finance law in 2028 or 2029. The domestic definition of debt above 55% of GDP requires undertaking substantial austerity measures and the constitutional limit of 60% of GDP allows no deficit in the budget act next year.

Borrowing needs in 2027 will be lower amid fewer grants and loans from the EU

At first glance, projected gross borrowing needs for 2027 compare favourably with the expected 2026 outturn. While the details of the draft budget have yet to be released, we assume this largely reflects the timing of EU fund disbursements.

The scale of loans financed from European funds will be lower in 2027 than in 2026, following the completion of the National Recovery and Resilience Plan, reducing borrowing requirements financed through non-market sources.

In addition, timing mismatches in cash flows related to grants will generate smaller financing needs. Lower gross borrowing requirements are therefore unsurprising and in line with our expectations. These are cash flows and therefore do not affect the general government balance, although they are relevant from the perspective of managing state budget liquidity.

Muted market reaction

For financial markets, the key information on borrowing requirements will be the amount financed through market instruments, as this determines the supply of government securities. We do not expect this amount to be significantly higher than in the current year.

The net borrowing requirement for next year announced so far (PLN317bn) is close to this year's projected outturn (PLN320bn) and should not cause market concern, although the details and planned financing structure will be important.

Markets are aware of the difficulties involved in fiscal adjustment under the current political circumstances, including difficult cohabitation between the government and the president and next year's parliamentary elections. In our view, however, the fiscal plans should provide some reassurance to financial markets. Concerns about next year's budget have been reflected, among other things, in elevated spreads, including long-term asset swaps.

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COMMODITIES, FOOD & AGRI

Is gold back?

Gold has rebounded sharply from its July lows, supported by renewed investment demand and growing unease over the US fiscal outlook. But persistent inflation and the possibility of further Fed tightening mean the recovery is unlikely to be straightforward

Growing concerns over the US fiscal situation and investment demand are giving momentum to gold prices

Fiscal risks give gold fresh momentum

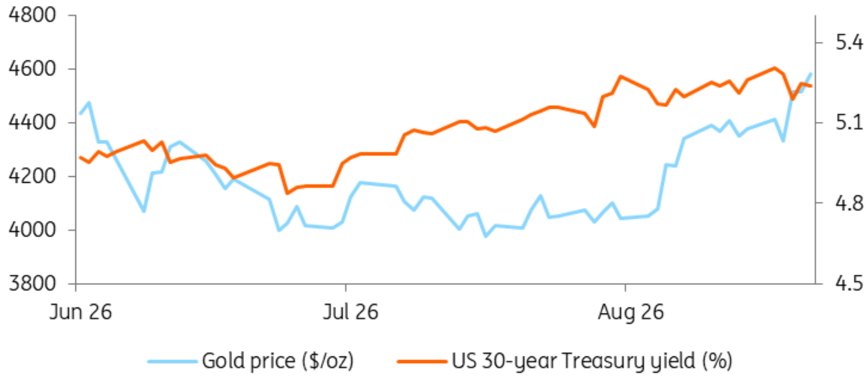
Gold has climbed from around \$4,000/oz in mid-July to around \$4,600/oz, returning to levels last seen in May.

The latest move followed the US Treasury's decision to increase its purchases of longer-dated government debt. The maximum size of buyback operations in the 10-to-30-year segment will rise from \$2bn to at least \$4bn, with Treasury Secretary Scott Bessent signalling that the programme could be expanded further.

The bond-market impact proved short-lived, with long-term yields subsequently recovering much of their decline. Gold, however, continued to strengthen.

In our view, gold's resilience suggests that the rally is not simply a response to lower yields. The prospect of larger Treasury buybacks has refocused attention on government borrowing and fiscal credibility. It has also revived concerns about currency debasement, reinforcing gold's appeal as a store of value.

Gold rebounds despite elevated long-term yields



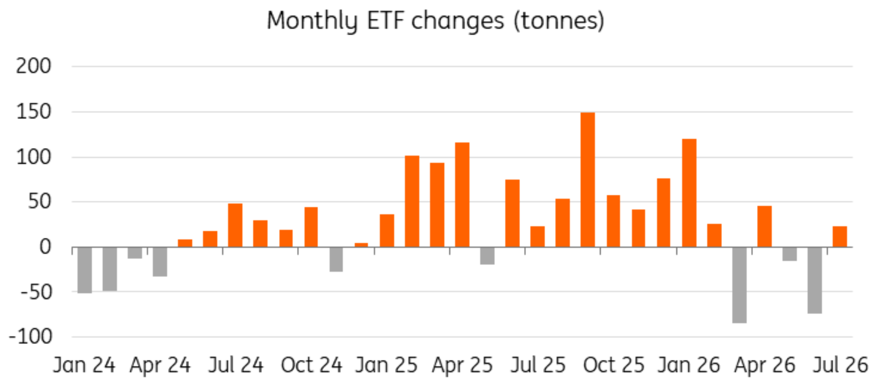
Source: Refinitiv, ING Research

A weaker dollar and lower short-term yields have helped gold rebound after prices found support around $4,000/oz in mid-July. Softer US data have also revived expectations that the Fed could begin easing policy in 2027.

Investment demand is recovering

The improvement in ETF demand is another positive signal. Global gold-backed ETFs attracted $3bn in July, lifting their holdings by 23 tonnes, according to the World Gold Council.

Gold ETF inflows return

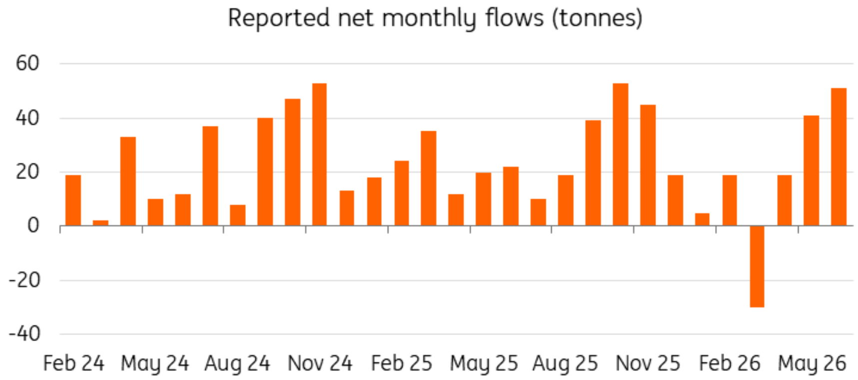


Source: WGC, ING Research

The recovery has continued into August. Funds tracked by Bloomberg added around 18 tonnes on Thursday alone, their strongest daily accumulation in almost a year.

Central banks also remain a significant source of demand. Reported net purchases reached 51 tonnes in June, taking the first-half total to 102 tonnes, with Poland and China leading the buying. We expect official-sector buying to continue supporting the market, but further gains will increasingly depend on whether Western investors maintain their renewed interest in gold.

Central bank purchases rebound



Source: WGC, ING Research

Inflation remains the main headwind

The rally still faces headwinds. Rising energy prices are adding to US price pressures and could keep monetary policy restrictive for longer.

Minutes from the Fed's July meeting showed that some policymakers favoured an immediate rate increase, while others were prepared to support further tightening if inflation remained elevated.

The Fed's annual Jackson Hole symposium from 27 to 29 August will be closely watched. Any indication that policymakers are becoming more willing to raise rates would risk lifting yields and the dollar. A greater focus on growth or financial stability would be more supportive for gold.

Upside risks to our outlook are growing

Our forecast of $4,150/oz for the fourth quarter (average price) assumes that persistent inflation keeps US monetary policy restrictive and prevents a sustained fall in yields. However, renewed ETF buying, a weaker dollar and mounting fiscal concerns are creating increasingly clear upside risks to our outlook.

Gold's correction appears to have found a floor. Renewed ETF buying and its resilience despite elevated yields suggest the recovery is on firmer footing, but further gains will depend on whether investment demand continues to build and how the Fed responds to persistent inflation.

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